Nobody Reads the Footnotes

It was past midnight, and I was reading a prospectus the way other people watch thrillers. Somewhere around page 180, in a footnote printed in a font size that suggested embarrassment, the company admitted the thing the headline had carefully avoided. I laughed out loud. My cat left the room.

This is the least appreciated skill in financial news: reading the small print. Everyone reads the headline number. Almost nobody reads the note attached to it, which is strange, because the note is usually where the actual story lives.

Headlines are written to be repeated. Footnotes are written to be defensible. That difference explains nearly everything about modern financial communication.

Take any earnings announcement. Revenue up, growth strong, guidance raised. The press release glows. Then you open the filing and find the footnote explaining that the growth came from a change in how revenue is recognized [VERIFY: example and source], or that the profit excludes the three most expensive things the company does, now filed under "adjustments." The headline tells you what happened.

The footnote tells you what happened to the definition of what happened.

I do not think this is always deception. Accounting is genuinely complicated, and footnotes are where honest complexity goes to live. A company with operations in forty countries cannot summarize its tax position in a bullet point. The small print exists because reality has small print.

But complexity is also the best camouflage ever invented. If you wanted to bury an uncomfortable fact, you would not lie about it. Lying is risky. You would disclose it accurately, completely, and in 8-point type on page 214. Nobody can accuse you of hiding it, because there it is, in plain sight, where nobody looks.

The professionals know this. Short sellers live in footnotes. Forensic accountants treat the main statements as the trailer and the notes as the film. When a company collapses, the post-mortem almost always finds the warning sitting quietly in some note from two years earlier, ignored by everyone who preferred the headline.

There is a pattern to what gets buried. Related-party transactions. The kind where the company does business with entities connected to its own executives [VERIFY: example and source]. Changes in auditors, mentioned briefly, as if switching the referee mid-game were a clerical detail. Concentration risk: one customer, one supplier, one geography

carrying the whole structure. Going-concern warnings, phrased so gently they sound like wellness advice.

The honest version of financial news would invert the whole process. Start with the footnotes. Read the risks before the revenues. Ask what the company is most eager for you to skip, and start there. It is slower. It is less exciting. It is also the only reading method I have found that consistently works.

This habit transfers outside finance, too. Terms of service. Drug trial appendices. The methodology section of the survey behind the viral statistic. The small print is where the world keeps its receipts.

I keep thinking about that midnight footnote. The company had told the truth. Technically, completely, legally, it had told the truth. It had just told it in a place designed for truth to go unnoticed. That is not a lie. It is something more modern: compliance as camouflage.

So here is my proposal for how to read financial news. Enjoy the headline. Then scroll past it. The story you came for is probably three hundred pages in, in tiny type, waiting patiently for the one reader who bothers.

Be that reader.